

ERP Documentation – 4. Finance Department

Version 0.1 (draft, built from your notes and the rules already set in Academics, Non-Academics and HR; items marked **[Proposed]** are my suggestions for you to confirm)

1. Purpose and Scope

Finance manages all money in the school: **student fee collection, concessions, vendor and payroll payments, budgets, approval limits and full accounting**. It covers Academics, Non-Academics, Transport and all other departments. Every financial detail is visible to the MD, together with an audit trail.

2. Roles

MD → Finance Head **[Proposed]** → Accountant → Fee Collection Staff / Cashier

Role	Responsibility
Finance Head	Sets budgets and approval limits, approves vouchers and statements, oversees all accounts.
Accountant	Maintains books and ledgers, vouchers, bank reconciliation, financial statements.
Fee Collection Staff (Cashier)	Collects fees, issues receipts, handles counter and POS payments.
MD	Full visibility of all finance data and audit logs; final approvals.

Role names can be adjusted. The ERP follows the same rule as other departments: no edit and no delete after saving.

3. Module Map

#	Module
1	Fee Structure and Configuration
2	Fee Collection and Receipts

#	Module
3	Fee Reminders and WhatsApp Billing
4	Concessions (Staff Child, Sibling, Special)
5	Yearly Fee Increase
6	Transport, Activity and Book Fees
7	POS / Card / UPI Integration
8	Budget Management
9	Approval Limits
10	Payment Vouchers and Requests
11	Accounting: Books and Ledgers
12	Bank Reconciliation
13	Financial Statements
14	Payroll Payments (with HR)
15	Reports and Analytics
16	MD Dashboard and Audit
17	Settings and Configuration

4. Module Details and Workflows

4.1 Fee Structure and Configuration

- Fee heads defined by Finance: tuition, admission, transport, books, activities, events, others.
- Fee structure by **class** and academic year, with installment schedule (monthly, term-wise, yearly).
- Due dates and late-fee rules are settings [**Proposed**].
- Fee data per student is shown in the student profile (paid or pending).

4.2 Fee Collection and Receipts

- Payment through counter, online and POS (see 4.7). Receipt generated automatically.

- **First admission payment:** when a student pays, a **new student user is created automatically**, and the registered email receives a temporary password (forced password change on first login).
- Pending and paid status is updated in the profile immediately.
- Receipt and statement downloads are logged for audit.

4.3 Fee Reminders and WhatsApp Billing

- **Monthly fee reminders** are sent automatically before and after the due date.
- When a payment is made, the **bill/receipt is sent to WhatsApp** automatically, and is also available in the student profile.
- Reminder timing is configurable [**Proposed**].

4.4 Concessions

Type	Rule
Staff child concession	Custom per employee, recorded by HR (some higher, some lower). Finance applies it to the fee.
Sibling concession	Applied when more than one sibling studies in the school. Sibling information is also shown in the student profile.
Special case concession	For special cases chosen by authorised approvers. Reason recorded.

- Concessions are approved by users with authority (limits set by Finance) and are visible in the student profile and to the MD.
- No edit/delete: a change is a new entry with date and approver.

4.5 Yearly Fee Increase

- Finance can apply the yearly increase **by percentage or by amount**.
- Applied **by class** (different increases for different classes).
- Takes effect for the next academic year; the old fee structure stays in history.

4.6 Transport, Activity and Book Fees

- **Transport fee:** based on route/distance; student details and payment status sync to the Transport Manager screen.

- **Extra-curricular activity fees** (badminton, dance, karate, rifle shooting, etc.): enrolled by PRM, collected by Finance.
- **Book fees:** configured under book fee heads; library purchase requests come through the purchase workflow.

4.7 POS / Card / UPI Integration

- Finance can **sync with POS machines** such as Paytm swipe machines.
- Payments received on the machine are posted to the ERP fee collection automatically **[Proposed]** (subject to the vendor's API).
- Payment mode recorded: cash, card, UPI, bank transfer, cheque, online.

4.8 Budget Management

- Finance defines **monthly, yearly and event budgets** by department.
- Requests (store purchases, tickets involving cost) check against the budget; over-budget items are flagged and redirected.
- Budget vs actual reports by department and period.

4.9 Approval Limits

- Finance sets **approval limits for each role** (Academics and Non-Academics alike).
- A Department Head can approve up to the limit; **above the limit the request is redirected to Finance by the head.**
- Limits also apply to salary advances and loans (set jointly with HR).

4.10 Payment Vouchers and Requests

- Payment voucher for vendor payments, payroll and refunds.
- Flow: request/bill → department approval → Finance verification → voucher → payment → posted to books.
- Purchases follow the Store workflow (vendor comparison by the Store Officer).

4.11 Accounting: Books and Ledgers

- **Day book, online book, general ledger, cash book, bank book, chart of accounts, journal vouchers.**
- Entries post automatically from fee collection, payment vouchers and payroll.
- Chart of accounts is configurable; manual journal vouchers require approval.

4.12 Bank Reconciliation

- Match bank statement entries to the bank book; list unmatched and pending items.
- Reconciliation reports by bank account and period.

4.13 Financial Statements

- Income and expenditure, balance sheet, trial balance, cash flow [**Proposed**].
- Period-based, department-wise and fund-wise views (Academics, Non-Academics, Transport, etc.).

4.14 Payroll Payments (with HR)

- HR prepares payroll; Finance verifies and pays through a voucher.
- Salary advances, loans and incentives deduct/pay through payroll as defined by HR.

4.15 Reports and Analytics

- Fee collection, pending fees, defaulters, collection by class/mode/date, concession reports, budget vs actual, expense by department, payment status, bank reports.
- All pages have filters and PDF/Excel export (with column selection).

4.16 MD Dashboard and Audit

- Charts, diagrams and comparisons: collection trend, pending amount, expense by department, budget use, class-wise performance, year-on-year comparison.
- **Audit visibility for the MD:** login details, entry details, page downloads, print/download logs.
- Detailed audit processes are in the separate Audit document.

4.17 Settings and Configuration

- Fee heads, installments, late fee, reminders, concession types, tax/PF rates [**Proposed**], payment modes, roles and limits, financial year.

5. Approval Chains Summary

Process	Initiator	Approval chain	Result
Fee concession	Class teacher / HR / PRM	Authorised approvers within Finance limit	Applied to fee

Process	Initiator	Approval chain	Result
Yearly increase	Finance Head	MD	New fee structure
Store purchase	Store Officer	Vendor comparison → approvers within limit → Finance	PO and voucher
Payment voucher	Department	Dept Head → Finance (limit check)	Payment posted
Manual journal	Accountant	Finance Head	Posted
Budget	Finance Head	MD	Budget active
Refund	Finance	Finance Head → MD	Refund voucher

6. Role-Permission Matrix (draft)

Legend: C = Create, V = View, A = Approve

Module	Cashier	Accountant	Finance Head	Dept Head	MD
Fee collection	C	V	V	–	V
Concessions	–	C	A	C (request)	V
Budget	–	V	C	V	A
Vouchers	–	C	A	C (request)	V
Books and ledgers	–	C	A	–	V
Statements	–	C	A	–	V
Audit logs	–	–	V	–	V

7. Integrations

Department	Interaction
Academics	Student fee status in profile, TC dues NOC, extra-activity enrolment, sibling info
Non-Academics	Budgets, store purchases, transport fee sync, vendor payments

Department	Interaction
HR	Payroll, advances/loans, incentives, staff-child concession, approval limits
Library	Book fee and book purchase budget
MD / Audit	Full visibility, audit logs
External	WhatsApp (bills), POS/payment gateway, bank

8. Confirmed Decisions

Updates from review. These supersede earlier wording in sections 1 to 7 where they differ.

- 1. Finance roles:** Two roles: **Finance Head** and **Finance Assistant**. Both have the **same responsibilities**; the Finance Head is the **approval authority**. Wherever the draft says Accountant or Cashier, it means Finance Assistant.
- 2. Fee heads:** Include activity fees such as **taekwondo, rifle shooting** and the other extra-curricular activities, in addition to tuition, admission, transport, books and events.
- 3. Installments: Configurable** (monthly, term-wise, yearly or custom).
- 4. Late fee: Yes**, with **custom adjustable** rules (fixed or percentage, grace period, and by class or fee head).
- 5. Refunds:** Refunds apply to **vendors and other cases** (for example excess payment, caution deposit, TC), not only to students.
- 6. POS / gateway: Paytm** swipe machine and gateway.
- 7. WhatsApp:** Bills are sent through the **WhatsApp Business API**.
- 8. Financial year: April to March.**
- 9. Tax:** Tax handling (GST/TDS and related reports) is **available as an option** that Finance can switch on when required.
- 10. Audit:** The Audit SOP has been shared. See the separate **Audit document**; the Finance audit visibility to the MD (logins, entries, downloads, prints) remains as described in 4.16, and Finance is also audited monthly (see the Audit document: Admin + Finance, Transport paid/unpaid check, Concession, Staff Salary Consolidation).

Status: No blocking items remain for Finance.

Next suggested department: MD, then Admin and Audit.